

Q: Would you place Kaya in your list of mistakes? Could it have been handled better?

A: In short, the answer is yes, we could have done a better job. Though it was picking up, all of a sudden this pandemic came in. Over the last two years, we've had a terrible time in terms of closure of our clinics. April onwards, things have bounced back and we have a new CEO in place, but we have made mistakes. This is a very complex business compared to the FMCG

“Unless you experiment, unless you fail, you’ll never learn because there are limitations to market research. No amount of market research is going to give you all the answers. There is just no shortcut to launching products and testing them with real consumers”

154 |

business. It's a combination of three different businesses—hospitality, retail and healthcare—and you have to find the perfect balance between these three. We made some mistakes in the past, which set us back. But, to answer your question—could it have been done better? The answer is unequivocally yes, we should have done a much better job.

Q: The other significant thing that you did is to relinquish the CEO's chair in favour of a professional, which is quite rare in family-owned businesses. What prompted that and how do you see succession at Marico from here on? Could your son Rishabh take over from Saugata [Gupta, Marico's MD & CEO] one day?

A: Good question, Udayan, because when I took that step in 2014, I had not thought that I will relinquish my responsibility at that point in time. At some stage, I had to but not quite then. But, my current CEO Saugata Gupta, who had been working with me for 10 years, expressed his desire to be in my shoes. I discussed that with my board at that time, and the board felt that it was a good idea as we needed new blood in Marico. They felt I should give him that opportunity and step down, and it would also pave the way for management succession. The starting point was my belief that the

company does not belong to me and the organisational interest comes first and then my personal interest. So though I was not ready to step down, I stepped down in the interests of the company. The needs of hierarchical society meant that my children would inherit my role, but at that time my son was not ready, and also not that keen to run an operating company. So, I took that step. Looking back it has been a very good step, because it freed me in terms of doing a lot of new things that I never thought I would be able to do if I was running the company hands on.

So, earlier Marico was a promoter-managed company; now it is more of a strategic investor-driven company, where we are the biggest investors. So, I don't operate the company on a day-to-day basis, but I have review meetings with the management and the team. I may be spending two-three days a month on Marico.

As far as my son is concerned, he is already running a very successful investment office, which has done exceedingly well. He has found his calling in that particular area, so I don't think he would like to step into Marico's shoes. But, if you ask me what would happen over a period of time, I think I would like to step down as Chairman, not immediately but over a period of time, and I'm grooming Rishabh to be the Chairman of Marico. So, he would take care of the family's interest as a strategic investor.

Q: Finally, Harsh, there's a very interesting chapter in your book called 'Angels and Predators,' where you talk about the time when HUL wanted to buy out the young upstart Marico, and got very upset when the offer was rebuffed. These days, the big predator on the block in practically any industry is Adani, and he even happens to be a competitor to Marico with Adani Wilmar. If Adani came to you with an offer, would your answer be the same?

A: Absolutely the same! I am very clear that I have created this company from a perpetuity point of view, and not to sell it. Forget Adani, if I wanted to sell it, there would be other buyers, too; and there have been many approaches made to me in the past, and I've always said no. The question of selling out doesn't arise. Two, I am preparing the company from a long-term point of view in terms of the role of the board and what kind of decisions the body will take over a period of time. If you look at the history of a Procter & Gamble or Unilever, they started as family-owned companies, but survived over a very long period of time. I am viewing myself from that point of view. We have a 60 per cent shareholding as promoters, therefore are not vulnerable in terms of a hostile takeover. **BT**